

JUN 19 1995

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IN THE
Supreme Court of the United States

OCTOBER TERM, 1994

HERCULES INCORPORATED

and

WM. T. THOMPSON COMPANY,

v.

Petitioners,

UNITED STATES OF AMERICA

Respondent.

On Writ of Certiorari to the
United States Court of Appeals
for the Federal Circuit

BRIEF FOR THE PETITIONERS

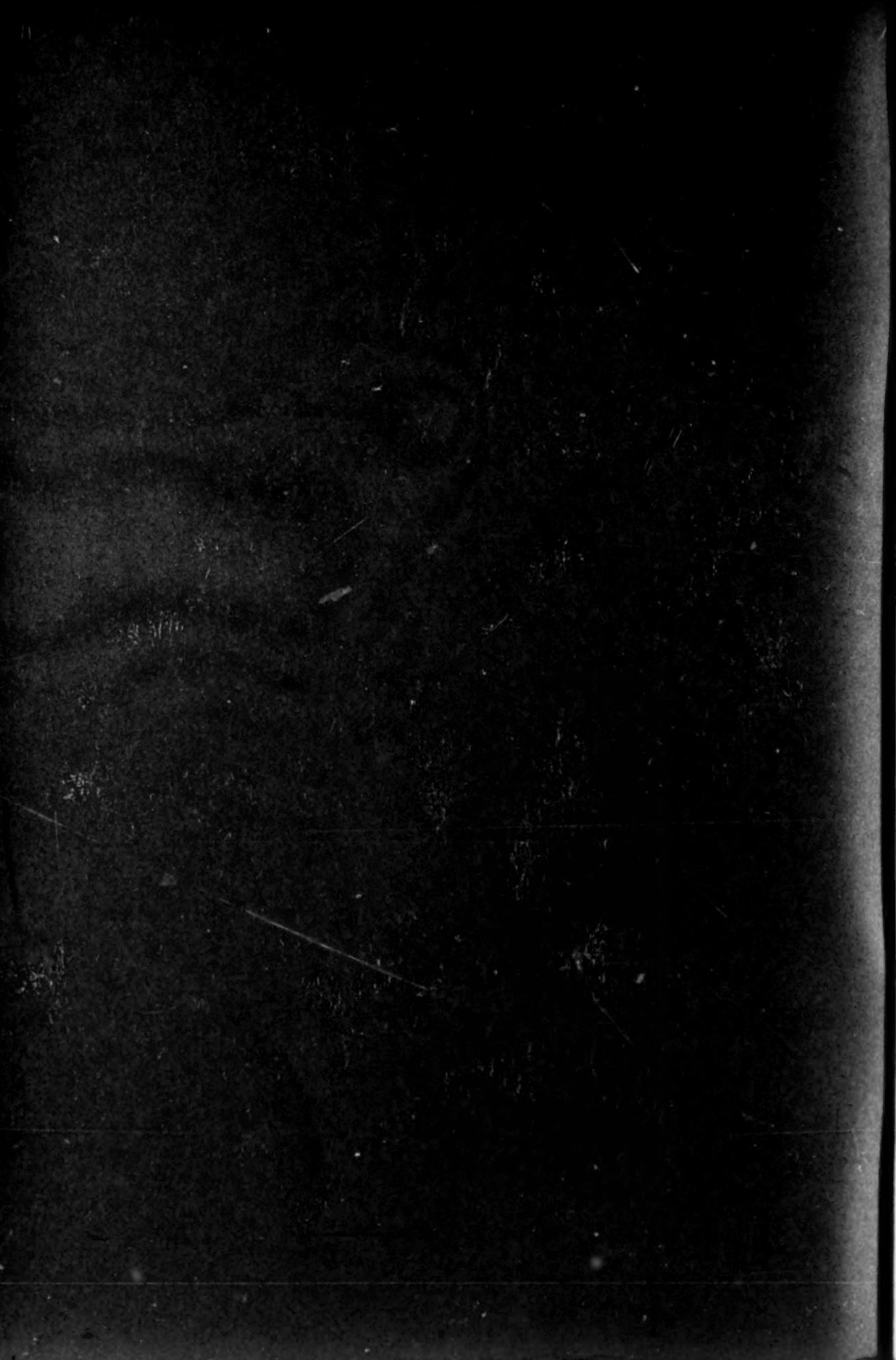
JEROLD OSHINSKY *
GREGORY W. HOMER
RHONDA D. ORIN
ANDERSON KILL OLICK
& OSHINSKY
2000 Pennsylvania Ave., N.W.
Suite 7500
Washington, D.C. 20006
(202) 728-8100
MICHAEL B. KEEHAN
WALTER S. ROWLAND
HERCULES INC.
Hercules Plaza
Wilmington, Delaware 19894
(302) 594-5000

JAMES S. TURNER
ALAN DUMOFF
SWANKIN & TURNER
1424 16th Street, N.W.
Suite 105
Washington, D.C. 20036
(202) 462-8800

CARTER G. PHILLIPS *
SIDLEY & AUSTIN
1722 I Street, N.W.
Suite 900
Washington, D.C. 20006
(202) 736-8000

Counsel for Petitioners

* Counsel of Record



QUESTION PRESENTED

If the government orders manufacture by private companies of a product known to the government to be potentially dangerous, and the use by the government of the product causes the manufacturers to incur tort liability to third parties as well as defense costs, may the government claim immunity in a breach of contract case from the consequences of its conduct, notwithstanding the requirements of the *Spearin* doctrine and the Defense Production Act?

PARTIES TO PROCEEDING BELOW

All of the parties are listed in the caption. Pursuant to Rule 29.1, Petitioners make the following disclosures:

1. Hercules Incorporated has no parent company and has no subsidiaries or affiliates that are publicly traded.

2. Wm. T. Thompson Company has no parent company and has no subsidiaries or affiliates that are publicly traded.

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BRIEF FOR THE PETITIONERS

Hercules Incorporated ("Hercules") and Wm. T. Thompson Company ("Thompson") submit this brief and urge that this Court reverse and remand the judgment and opinion of the United States Court of Appeals for the Federal Circuit, entered on May 4, 1994.

OPINIONS BELOW

The opinion of the United States Court of Federal Claims (then the United States Claims Court) granting the government's motion for summary judgment against Hercules (Pet. App. 47a-80a) is reported at 25 Cl. Ct. 616. The opinion of that same court granting the government's motion for summary judgment against Thomp-

son (Pet. App. 82a-115a) is reported at 26 Cl. Ct. 17. The divided opinion of the Federal Circuit affirming the Claims Court (Pet. App. 1a-46a) is reported at 24 F.3d 188.

JURISDICTION

The judgment of the Federal Circuit was entered on May 4, 1994. Rehearing was denied on July 14, 1994. (Pet. App. 117a-121a). On September 26, 1994, the Chief Justice extended petitioners' time to file a petition for a writ of *certiorari* until November 4, 1994. The petition was granted on April 3, 1995. The jurisdiction of this Court is invoked pursuant to 28 U.S.C. § 1254(1).

STATUTORY PROVISIONS INVOLVED

Several provisions of the Defense Production Act ("DPA"), 50 U.S.C. §§ 2061, *et seq.* (1988), are related to the disposition of petitioners' contract claims.

Section 101 of the DPA, 50 U.S.C. § 2071(a), provides:

The President is authorized (1) to require that performance under contracts or orders (other than contracts of employment) which he deems necessary or appropriate to promote the national defense shall take priority over performance of any other contract or order, and, for the purpose of assuring such priority, to require acceptance and performance of such contracts or orders in preference to other contracts or orders by any person he finds to be capable of their performance, and (2) to allocate materials and facilities in such manner, upon such conditions, and to such extent as he shall deem necessary or appropriate to promote the national defense.

Section 707 of the DPA, 50 U.S.C. § 2157, provides:

No person shall be held liable for damages or penalties for any act or failure to act resulting directly or indirectly from compliance with a rule, regulation, or order issued pursuant to this Act, notwithstanding

that any such rule, regulation, or order shall thereafter be declared by judicial or other competent authority to be invalid. No person shall discriminate against orders or contracts to which priority is assigned or for which materials or facilities are allocated under title I of this Act or under any rule, regulation, or order issued thereunder, by charging higher prices or by imposing different terms and conditions for such orders or contracts than for other generally comparable orders or contracts, or in any other manner.

STATEMENT OF THE CASE

A. The Compelled Production of Agent Orange

This case involves the most recent chapter in the long history of the government's use during the Vietnam War of the defoliant known as Agent Orange.¹ Petitioners are two chemical companies. During the 1960s, acting under the authority of the DPA, 50 U.S.C. §§ 2061, *et seq.*, the government ordered petitioners to produce and sell Agent Orange to the Department of Defense. (J.A. 8-10; Pet. App. 41a, 43a). Although Hercules and Thompson had some experience in producing herbicides for commercial use, neither company had ever produced defoliants and neither company understood the potential hazards that might accompany the military use of such defoliants. (C.A. App. 0544, 0546-0548, 0448, 0431, 0432).²

In contrast, the government had engaged in years of study concerning the use of defoliants for military applications and possessed a wealth of information pertaining to the hazards associated with the military use of such compounds. (C.A. App. 0430, 0502-0503). It is undis-

¹ See generally Peter H. Schuck, *Agent Orange on Trial* (enlarged ed. 1987) ("Schuck").

² All citations to "C.A. App. ——" refer to the Joint Appendix filed in the proceedings before the United States Court of Appeals for the Federal Circuit.

puted that the government never disclosed that information to petitioners. Instead, the government developed and provided to Hercules and Thompson precise specifications for the production of Agent Orange. These specifications included the requirement that no warning labels or instructions of any kind be placed on the product. (See Contracts of Thompson Chemical Corp. and Hercules, Inc. lodged with the Clerk of the Court simultaneously with the filing of this brief, hereinafter referred to as "Contracts"; C.A. App. 0467, 0486-0487, 0576). The government periodically inspected Hercules' and Thompson's plants to verify that the composition of the Agent Orange precisely met these specifications.

The government knew as early as 1959 that the manufacture of Agent Orange according to these specifications could produce a dangerous by-product known as "dioxin." Hercules and Thompson, however, were ignorant of this possible result when they began manufacturing Agent Orange pursuant to the government's specifications. (J.A. 11, 25; see Contracts; C.A. App. 0446-0447, 0450, 0459, 0465, 0467, 0489).

The Agent Orange produced by Hercules and Thompson was provided to the government largely under "rated orders" pursuant to the DPA. See *In Re Agent Orange Prod. Liab. Litigation*, 597 F. Supp. 740, 844 (E.D.N.Y. 1984), *aff'd*, 818 F.2d 145 (2d Cir. 1987), *cert. denied*, 484 U.S. 1004 (1988). Under these rated orders, Hercules and Thompson were subject to civil and criminal penalties, as well as mandatory injunctions, if they failed to comply with the government's commands. The government's demand for Agent Orange eventually resulted in the virtual takeover of Hercules' and Thompson's production facilities, despite the protestations of both companies. (J.A. 24; C.A. App. 0619-0622, 0629, 0641-0422). Indeed, in March of 1967, the United States Department of Defense issued an order that required Hercules to divert its *entire* herbicide production capacity to the manufacture of Agent Orange. Hercules

requested relief from the government's rated orders in order to enable Hercules to satisfy its preexisting commercial commitments, but the government rejected that request.

For its part, Thompson went to extraordinary lengths to attempt to avoid altogether the compelled production of Agent Orange. Among other things, the President of Thompson personally flew to Washington, D.C., and petitioned the Department of Defense to release Thompson from the rated orders so that it would not have to manufacture Agent Orange. These efforts failed, and Thompson was ordered under the DPA to continue producing Agent Orange. (J.A. 24; Pet. App. 4a).

B. The *Agent Orange* Litigation

In the late 1970s, Hercules and Thompson, along with other Agent Orange manufacturers, were sued in a class action by thousands of U.S. veterans of the Vietnam War, and others, seeking damages for health problems allegedly resulting from exposure to Agent Orange ("*Agent Orange* litigation"). The plaintiffs alleged that Agent Orange produced in accordance with government specifications contained dioxin as a by-product, which they alleged was an extremely toxic substance that caused them to suffer health problems. The plaintiffs claimed up to \$40 billion in damages. (J.A. 12-13, 25; Pet. App. 4a-5a, 50a; C.A. App. 0510).

The defendant manufacturers impleaded the government into the case as a third-party defendant. (Schuck at 60; J.A. 13). The trial court in the *Agent Orange* litigation granted summary judgment to the government with regard to the third-party complaint. *In Re Agent Orange Prod. Liab. Litigation*, 611 F. Supp. 1221, 1223 (E.D.N.Y. 1985), *aff'd*, 818 F.2d 204, 210 (2d Cir. 1987). The trial court, however, did not enter an order dismissing the government entirely from the action, but instead retained the government as a party for discovery purposes. (J.A. 13).

Hercules and Thompson moved for summary judgment in 1982 against the plaintiff class. They argued that the government had ordered them to produce Agent Orange in accordance with precise specifications and that, although the government knew of the product's alleged defects, Hercules and Thompson were unaware of any risk. Accordingly, Hercules and Thompson argued that they could not be held liable for any injuries that were caused by the government's use of Agent Orange. (Pet. App. 5a-6a, 50a). This defense, now known as the "government contractor defense," subsequently was recognized by a sharply divided Court in *Boyle v. United Technologies Corp.*, 487 U.S. 500 (1988).

Judge Pratt, the first district judge assigned to the *Agent Orange* litigation, wrote a decision that granted petitioners' summary judgment motion. *In Re Agent Orange Prod. Liab. Litigation*, 565 F. Supp. 1263 (E.D.N.Y. 1983). Judge Weinstein, however, took over the *Agent Orange* litigation when Judge Pratt was appointed to the Second Circuit, and withdrew Judge Pratt's decision before it was entered as a formal judgment.³ Thereafter, Judge Weinstein ruled that Hercules and Thompson should remain as defendants in the litigation and that the viability of the government contractor defense could not be determined on summary judgment, but would have to be determined by the jury during the trial on liability. *In Re Agent Orange Prod. Liab. Litigation*, 100 F.R.D. 718, 723 (E.D.N.Y.), *certification of appeal denied*, 100 F.R.D. 735 (E.D.N.Y. 1983).

Neither Judge Pratt's nor Judge Weinstein's initial analysis of the government contractor defense was informed by the views of the government. The government refused to support the assertion by Hercules and Thompson of the government contractor defense. Instead, the government watched from the sidelines in the class action

³ In the absence of the entry of a formal judgment, Judge Pratt's decision was a legal nullity. Fed. R. Civ. P. 58.

as the manufacturers struggled to deal with the myriad claims of United States veterans for injuries that allegedly were inflicted on them by the government. *See In Re Agent Orange Prod. Liab. Litigation*, 597 F. Supp. at 879. (Pet. App. 7a, 8a). Further, the government actively opposed and frustrated the contractors' efforts to obtain discovery from the government pertaining to the government contractor defense. (See Transcripts of discovery-related proceedings in the *Agent Orange* litigation lodged with the Clerk of the Court simultaneously with the filing of this brief).

Rather than risk a catastrophic judgment and continue to incur enormous attorneys' fees and litigation costs, Hercules and Thompson joined with the other defendant companies and settled the *Agent Orange* litigation. On May 7, 1984, on the eve of trial, Hercules, Thompson, and all of the other defendant companies settled with the Agent Orange class for a total of \$180 million to be paid by the defendants on a market-share basis. (J.A. 13, 26; Pet. App. 50a, 7a).

Hercules' share of the settlement was \$18,772,568. (J.A. 13; Pet. App. 51a, 7a). Thompson's share of the settlement was \$3,096,597. (J.A. 26-27; Pet. App. 7a). Also, Hercules incurred defense costs in excess of \$6 million during the litigation. (J.A. 13; Pet. App. 51a). Thompson incurred defense fees in excess of \$3 million. (J.A. 27).

The government had refused to participate in the class action settlement negotiations. *In Re Agent Orange Prod. Liab. Litigation*, 597 F. Supp. at 879. On April 24, 1984, the government expressly advised the district court that "[t]he United States declines to attend or participate in settlement negotiations or court settlement conferences because any settlement of this case that calls for contribution by the United States is not warranted. This is the United States' firm position and we anticipate no change whatsoever in any aspect of it." *Id.*

Subsequently, the district court affirmed the Agent Orange settlement as reasonable and fair to the plaintiff class. The district court held that, if Hercules and Thompson had not settled, "there was a possibility of an ultimate liability with claims totalling *billions of dollars*." *Id.* at 749 (emphasis added).

Some of the Agent Orange plaintiffs opted out of the class action settlement and continued to press their individual claims. (J.A. 14). Petitioners later moved for summary judgment against the opt-outs on various grounds, again including the government contractor defense. (Pet. App. 8a, 51a). Although the government had remained neutral during the earlier proceedings, now the government, a nominal party solely for discovery purposes, volunteered a vehement opposition to the assertion of the government contractor defense. (J.A. 34-71). The government argued in a brief in opposition to the petitioners' motion for summary judgment that "there exists substantial and convincing evidence that establishes not only that there are indeed genuine issues of material fact directly bearing on the validity of each and every contention relating to the government contract defense, but also that the defense does not further the policies it purports to serve." (J.A. 36).

Notwithstanding the government's position, Judge Weinstein granted summary judgment on the basis of the government contractor defense against all plaintiffs who had opted out of the class. *In Re Agent Orange Prod. Liab. Litigation*, 611 F. Supp. 1223, 1263-64 (E.D.N.Y. 1985), *aff'd*, 818 F.2d 187 (2d Cir. 1987), *cert. denied*, 487 U.S. 1234 (1988). In doing so, Judge Weinstein took a position exactly opposite to the position he had taken in the class action summary judgment motion filed by Hercules and Thompson.

The cost of the Agent Orange settlements and the legal fees had serious and adverse effects on the financial status of both Hercules and Thompson. In fact, Thompson ulti-

mately was forced to cease operations entirely. (J.A. 27-28). Moreover, both petitioners continue to defend numerous Agent Orange tort claims at considerable expense.⁴

C. The Government's Escape from Accountability

In 1990, Hercules and Thompson independently commenced actions in the United States Claims Court seeking damages from the government for the settlement and defense costs they had incurred in connection with the *Agent Orange* litigation. (J.A. 5-20, 21-32). Petitioners' principal claim was based on *United States v. Spearin*, 248 U.S. 132 (1918) and its progeny, including *Helene Curtis Industries v. United States*, 312 F.2d 774 (Ct. Cl. 1963). Hercules and Thompson each alleged that the government breached a contractual warranty of specifications by requiring them to manufacture Agent Orange, which the government knew to present significant hazards. (J.A. 14-15, 29-30; C.A. App. 0546-0549, 0633-0634, 0655-0661). Hercules and Thompson alleged that the government specifications were defective and that these specifications ultimately gave rise to the veteran plaintiffs' claims that they were harmed by Agent Orange. These claims subjected Hercules and Thompson to potentially enormous third-party liability. (C.A. App. 0502-0507, 0541-0542, 0549-0550).

Petitioners' other claims for relief arose from the government's breach of its obligation to disclose its superior

⁴ Hercules and other Agent Orange manufacturers continue to face claims by Vietnam veterans, by civilians, and by Korean Army veterans who served in Vietnam. See, e.g., *Ryan v. Dow Chem. Co.*, 781 F. Supp. 934 (E.D.N.Y. 1992); *Jae Sup Chung, et al. v. Dow Chem. Co., et al.*, No. C-94-2513 (N.D. Cal. 1994). They also have faced claims that the entire Agent Orange settlement agreement should be overturned and the original class action reinstated. *Ivy v. Diamond Shamrock Chems. Co. (In Re Agent Orange Prod. Liab. Litigation)*, 996 F.2d 1425 (2d Cir. 1993), cert. denied, 114 S. Ct. 1125 (1994).

knowledge concerning the potential hazards of Agent Orange, the government's breach of its duty to exercise due care in using Agent Orange, and the government's breach of the duty of good faith and an obligation not to increase contract costs. (J.A. 15-19, 30-31).

Finally, both Hercules and Thompson claimed in their complaints that the government ordered them to produce Agent Orange under the provisions of the DPA and that, for this reason, they were entitled to relief. (J.A. 9-10, 23-24). In addition, Thompson made a specific claim for indemnification arising out of the DPA. (J.A. 30).

Prior to any discovery and solely on the basis of the pleadings, the Claims Court dismissed the complaints of Hercules and Thompson on summary judgment. The trial court held that all of the claims asserted by petitioners were barred as a matter of law. (Pet. App. 80a, 82a-115a).

A sharply divided panel of the Federal Circuit affirmed the dismissal of petitioners' *Spearin* claims on the sole ground that the government contractor defense would have provided Hercules and Thompson with an absolute defense to the claims of the plaintiff class in the *Agent Orange* litigation had that matter been litigated to a conclusion. (Pet. App. 23a, 40a). In particular, the Federal Circuit held:

There can be no serious doubt that had the class action Agent Orange litigation proceeded to termination, no liability would have been imposed against Hercules or Thompson.

(Pet. App. 23a). The Federal Circuit concluded that the payments in settlement of the Agent Orange class action litigation made by Hercules and Thompson were purely "voluntary"—in effect gifts to Vietnam veterans and their families. (Pet. App. 23a). Thus, according to the majority, any breach by the government of a warranty of specifications did not "cause" petitioners' losses.

As to petitioners' claim that the government breached its obligation to disclose superior knowledge, the Federal Circuit propounded a rule that the doctrine of superior knowledge extends only to undisclosed information that increases costs during performance of a contract. Because the costs that petitioners incurred in defending and settling the *Agent Orange* litigation occurred after the actual performance of their contracts to manufacture Agent Orange, the Federal Circuit held that, as a matter of law, such costs could not be recovered. (Pet. App. 15a-16a).

Regarding the DPA claim, the Federal Circuit held that relief under the DPA was limited to costs associated with giving the priority of performance to the government rather than to private customers under contract. Accordingly, other costs that arise directly from compulsion to perform, such as those incurred in defending and settling the *Agent Orange* litigation, were not allowed. (Pet. App. 28a-33a).

Judge Plager vigorously dissented on each ground, concluding that "the law affords substantially more justice than the majority concedes." (Pet. App. 34a). Regarding the majority's claim that the government contractor defense certainly would have prevailed before the jury in the *Agent Orange* litigation, Judge Plager noted: "I do not know what the ultimate decision in the *Agent Orange* litigation would have been on this issue, nor does anyone." (Pet. App. 40a). After tracing the convoluted and complicated history of "the so-called 'government contractor defense,'" Judge Plager observed that the majority's suggestion "that the evolving government defense would clearly dictate the outcome in the original *Agent Orange* litigation seems to me to be unwarranted historical revisionism, out of place in the decision before us in this case." (Pet. App. 40a).

Judge Plager also rejected the majority's basis for dismissing the superior knowledge claim asserted by petitioners, commenting:

There is neither prior authority nor present reason to limit the doctrine of superior knowledge to require compensation only for the difficulties incurred during performance. . . . [I]f the government's incomplete or misleading information, or its particular specification of its requirements, imposes losses, now or later, on the contractor, then the government, like any other contractor, should not escape responsibility.

(Pet. App. 41a, 43a). Further, Judge Plager viewed the majority's interpretation of the DPA as "*a non sequitur*," and one which "ignores the language of the statute." (Pet. App. 44a).

SUMMARY OF ARGUMENT

The government has engaged for years in unfair and harmful conduct towards Hercules and Thompson. Three decades ago, the government exercised control over the production facilities of Hercules and Thompson under the authority of the DPA and ordered them to manufacture Agent Orange. (J.A. 9, 23). The government provided Hercules and Thompson with exact specifications that the government, but not Hercules and Thompson, knew would result in a potentially dangerous product when used in the unprecedented manner intended by the government. (J.A. 9-10, 23-25). Years later, when Hercules and Thompson were sued by veterans alleging injuries from Agent Orange, the government refused to support their assertion of the government contractor defense and even opposed and frustrated their efforts to obtain discovery on the issue. (J.A. 34-71). Now, when Hercules and Thompson seek to recover in contract from the government for the significant, out-of-pocket financial losses they incurred in defending and settling the *Agent Orange* litigation, the government disclaims all liability on the grounds that petitioners simply volunteered millions of dollars to the Agent Orange class.

The government's approach reflects its assumption that it is completely immune from any accountability for ordering the production and use of Agent Orange. Under existing law, the government is not accountable in tort for its conduct. This Court has established that the government is immune from tort claims by members of the armed forces. *Feres v. United States*, 340 U.S. 135 (1950). This Court also has established that the government is immune from contribution claims by government contractors arising out of tort claims against contractors by members of the armed forces. *Stencel Aero Eng'g Corp. v. United States*, 431 U.S. 666 (1977).

This Court, however, never has held the government immune from breach of contract actions in circumstances such as those presented here. Indeed, three separate legal theories establish, both independently and in unison, a right to recover in contract from the government: (a) breach of implied warranty, based on this Court's decision in *Spearin*; (b) breach of implied warranty, based on the government's superior knowledge of the hazards involved in the manufacture of Agent Orange, as articulated in *Helene Curtis*; and (c) an implied-in-fact indemnification obligation that derives from the compelled production of Agent Orange pursuant to the DPA and under circumstances that warrant finding such an indemnity obligation. Although the facts support all three of these grounds, any one of them, taken alone, is sufficient to entitle Hercules and Thompson to recover from the United States for the losses at issue.

The government is accountable to Hercules and Thompson for breach of implied warranty because the government dictated the specifications to Hercules and Thompson for the production of Agent Orange. (J.A. 14-15, 29). These specifications were defective because they resulted in a product that contained dioxin, the substance that the Agent Orange plaintiffs claimed caused their injuries. The government also is accountable to Hercules

and Thompson under the related superior knowledge doctrine because the government possessed knowledge about the dioxin hazard that petitioners did not have, but the government failed to provide this knowledge to petitioners. (J.A. 12, 30). Finally, the government is accountable to Hercules and Thompson because the government ordered Hercules and Thompson pursuant to the DPA to produce Agent Orange and because, when a contract is imposed on a contractor under the DPA in circumstances such as those present here, the contract contains an implied-in-fact indemnification provision.

The Federal Circuit held that the government was not liable on the *Spearin* claims solely because Hercules and Thompson settled the Agent Orange action. The Federal Circuit reasoned that “[t]here can be no serious doubt” that Hercules and Thompson would have avoided all liability had they proceeded to trial, and therefore that Hercules and Thompson had “volunteered” to suffer the losses represented by the settlement amount. (Pet. App. 23a). This holding cannot be sustained because absolute vindication by a jury never is a certainty, and could not have been predicted in the *Agent Orange* class action at the time petitioners entered into a settlement agreement. This holding also undermines the well-established policy of encouraging reasonable settlements of litigation.

The Federal Circuit rejected the superior knowledge argument on the additional ground that recovery is available only when the government withholds knowledge that bears upon the immediate costs incurred during the government contractor’s performance under the contract at issue. (Pet. App. 16a). This limitation is contrary to the principles underlying the *Helene Curtis* doctrine, which are that the government cannot betray a contractor into a ruinous course of action by withholding knowledge pertinent to a contract. See *Helene Curtis*,

312 F.2d at 778. Although in *Helene Curtis* the government withheld knowledge pertinent to the actual performance of a contract, the principle underlying that decision logically extends to the government's withholding of knowledge pertinent to the safety of a product produced under a government contract.

Finally, the Federal Circuit rejected the argument that the orders exercised against petitioners under the DPA created an implied-in-fact agreement to indemnify petitioners against damages that might result. The Federal Circuit did recognize that the DPA established a *quid pro quo*, protecting government contractors to the extent that the power of the DPA is exercised. (Pet. App. at 29a-31a). The Federal Circuit concluded, however, that the DPA protected contractors only against damages resulting from the requirements of priority and that its protections did not reach third-party tort damages. (Pet. App. 32a-33a). This conclusion was erroneous because, as Judge Plager noted in dissent, it is not supported by the language of the DPA, is illogical, and is completely unjust to contractors that are required to perform government contracts because of the power of the government to inflict criminal and civil penalties against them. (Pet. App. 44a-45a).

ARGUMENT

It simply cannot be the law that the government can exert control over the operations of a government contractor, insist that the contractor manufacture a product according to precise specifications that carry a risk of harm to others, insist that a product be produced that the government—but not the contractor—knows could be potentially hazardous, do nothing to support the contractor who is sued by those who allegedly are harmed by the product due to defective specifications, and then avoid any accountability for the millions of dollars the private party loses. When the government exposes its contractors to such injuries, the government should be liable.

Here, petitioners seek an obviously right result by relying upon several related legal theories. The effort, however, to tease out the proper application of these various theories should not conceal the underlying and fundamental point: the government is the proper party to bear the costs that the compulsory production of Agent Orange imposed upon petitioners.

In searching for the proper legal theory upon which to allocate these costs to the government, petitioners first turn to the elements of the *Spearin* claims and show how the Federal Circuit's causation argument simply cannot be reconciled with established principles of contract law governing breach of warranty. Petitioners then argue that the closely related superior knowledge doctrine provides an alternative and reinforcing basis for recovery under the contracts at issue here. Petitioners finally show that the DPA clearly provides a basis for an implied-in-fact indemnification obligation when a government contractor suffers injury as a result of claims made by third parties stemming from the allegedly dangerous products the contractor is ordered to produce in accordance with government specifications.

At the end of the day, the point becomes unassailable that the Federal Circuit's decision to insulate the govern-

ment from all liability is profoundly unfair and unsupported and, therefore, should be reversed.

I. THE GOVERNMENT'S BREACH OF AN IMPLIED WARRANTY OF SPECIFICATIONS ENTITLES HERCULES AND THOMPSON TO DAMAGES UNDER *UNITED STATES v. SPEARIN*

A. The Federal Circuit Erroneously Held That Hercules and Thompson Cannot Establish Legal Causation Between Their Damages and the Government's Breach of Implied Warranty

Almost 80 years ago, this Court recognized a contractual right of action against the government for breach of implied-in-fact warranties. The Court in *United States v. Spearin*, 248 U.S. 132 (1918), held that the government impliedly warrants that, if the contractor follows detailed specifications included as part of a government contract, the contractor "will not be responsible for the consequences of defects in the plans and specifications." *Spearin*, 248 U.S. at 136. Instead, the government is liable to its contractors if the specifications are defective, and must reimburse its contractors for the damages incurred by complying with the federal government's directions, including lost profits. *Spearin*, 248 U.S. at 136; *Poorvu v. United States*, 420 F.2d 993, 999-1000 (Ct. Cl. 1970); *Luria Bros. & Co. v. United States*, 369 F.2d 701, 707-08 (Ct. Cl. 1966); *Laburnum Constr. Corp. v. United States*, 325 F.2d 451, 457-58 (Ct. Cl. 1963).

In applying the *Spearin* doctrine, lower courts have held that the warranty implied when the government issues specifications include a warranty of safe design. As one court pointedly observed:

It is not necessary to spell out that specifications having major safety defects are fully as much in breach of the implied warranty as defects in the feasibility, practicability, or commercial possibility of performance as specified.

Ordnance Research, Inc. v. United States, 609 F.2d 462, 479 (Ct. Cl. 1979); see also *Greenbrier Indus., Inc.*, ASBCA No. 22121, 81-1 BCA ¶ 14,982, recons. denied, 81-BCA ¶ 15057 (1991).

A breach of warranty claim generally involves the following elements: (1) a valid warranty existed; (2) the warranty was breached; and (3) plaintiff's damages were caused by the breach. (Pet. App. 17a). The Federal Circuit held here that Hercules and Thompson could not prove the third element: causation between their damages and the breach of implied warranty.⁵

The Federal Circuit held that causation was lacking on the sole premise that Hercules and Thompson voluntarily had entered into a settlement with the underlying plaintiffs. According to the Federal Circuit, had Hercules and Thompson pursued the *Agent Orange* litigation to judgment, the jury *would have* determined that the government contractor defense barred the imposition of tort liability against them. Thus, the Federal Circuit held that the settlement was a voluntary assumption of liability by Hercules and Thompson, for which the government could not be held responsible. (Pet. App. 23a).

The Federal Circuit was wrong because it is impossible to predict a jury verdict or the overall course of litigation under any circumstances. As Judge Plager stated in dissent: "I do not know what the ultimate decision in the *Agent Orange* litigation would have been on this issue, nor does anyone." (Pet. App. 40a). Notably, Hercules and Thompson had exhausted other methods of obtaining dismissal based on the government contractor defense, including making and losing motions for sum-

⁵ In the *Agent Orange* litigation, it has been judicially determined that the government mandated design specifications for Agent Orange and that Hercules and Thompson followed these specifications exactly, which gave rise to veteran plaintiffs' claims. (C.A. App. 46-48, 59-63).

mary judgment. *In Re Agent Orange Prod. Liab. Litigation*, 597 F. Supp. at 753.

The *Agent Orange* trial court expressly recognized, when it tentatively approved the ultimate settlement, that the chemical company defendants, including Hercules and Thompson, might have lost before a jury. The trial court noted that "there was a possibility of an ultimate finding of liability with claims totalling billions of dollars." *In Re Agent Orange Prod. Liab. Litigation*, 597 F. Supp. at 749.

Hercules and Thompson had reason to fear that the government contractor defense might fail before a jury, even though Hercules and Thompson believed that such a decision would have been wrong and ultimately would have been reversed on appeal. A jury might have been swayed, for example, by the plight alleged by the veterans to find erroneously that Hercules and Thompson did not satisfy one or more elements of the government contractor defense as then formulated by the trial court in the *Agent Orange* litigation. The government's efforts to obstruct petitioners' discovery on the key element of this defense (the government's knowledge of the hazards associated with Agent Orange), certainly increased the possibility of such an outcome.

Further, the underlying *Agent Orange* litigation was a class action involving many chemical companies in addition to Hercules and Thompson. (J.A. 25; C.A. App. 0510). Thus, a jury might have evaluated the knowledge of all of the chemical company defendants collectively, decided that at least some of them fully appreciated the dangers of Agent Orange, imputed this knowledge to all of the chemical company defendants, and accordingly rejected the government contractor defense for all of them. This approach would have been devastating to Hercules and Thompson because one or more chemical companies other than Hercules and Thompson may have possessed greater knowledge than Hercules and Thompson about the potential hazards of Agent Orange.

The Federal Circuit's decision also was unjustified because the status and parameters of the government contractor defense were uncertain when Hercules and Thompson settled the underlying action. This Court was years away from deciding *Boyle*. Some jurisdictions had not even accepted the existence of a government contractor defense. See, e.g., *Hansen v. Johns-Manville Prods. Corp.*, 734 F.2d 1036 (5th Cir. 1984); *reh'g denied* 744 F.2d 94; *cert. denied* 470 U.S. 1051 (1985); *In Re All Maine Asbestos Litigation*, 575 F. Supp. 1375, 1377 (D. Maine 1983), noting respectively that Texas and Maine law did not recognize a government contractor defense.

Among those jurisdictions that recognized the defense, there was no uniformity in its application. See *Tillet v. J.I. Case Co.*, 756 F.2d 591, 600 (7th Cir. 1985). By 1985, courts had formulated at least four different versions of the government contractor defense. A four-part test was established in *McKay v. Rockwell International Corp.*, 704 F.2d 444, 451 (9th Cir. 1983), *cert. denied* 464 U.S. 1043 (1984); a three-part test was established in *In Re Agent Orange Product Liability Litigation*, 534 F. Supp. 1046, 1055 (E.D.N.Y. 1982); a hybrid of the *McKay* and *Agent Orange* tests was established in *Koutsoubos v. Boeing Vertol, Division of Boeing Co.*, 755 F.2d 352 (3d Cir.), *cert. denied*, 474 U.S. 821 (1985); and a two-part test was established in *Shaw v. Grumman Aerospace Corp.*, 778 F.2d 736, 746 (11th Cir. 1985). The *McKay* formulation suggests that the defense applies only to claims by military personnel, while the *Agent Orange* formulation and *Boyle* would apply to civilian claims as well.

Hercules and Thompson did not know in 1984, when they settled the underlying action, whether this Court ever would recognize a government contractor defense

and, if it did, what elements this Court would recognize.⁶ Thus, the decision to settle was a prudent solution to an inherently uncertain and perilous situation.

The Federal Circuit placed undue emphasis on the fact that the government contractor defense later prevailed against the opt-out plaintiffs in the *Agent Orange* litigation and that the Second Circuit affirmed that decision.⁷ This fact does not prove that the government contractor defense would have prevailed before a jury in the class action but merely illustrates that litigation is inherently uncertain and that a litigant is wise to take advantage of reasonable settlement opportunities.

Ironically, in granting summary judgment based on the government contractor defense in the opt-out litigation, Judge Weinstein reversed the position he took on the government contractor defense in the class action. That position, in turn, reversed an earlier decision by Judge Pratt granting summary judgment on this defense. (Pet. App. 6a-7a). The district court's repeated changes of heart on this defense only underscore the uncertain status of the defense and the riskiness inherent in relying upon it, a point which bolsters the validity of the decision by Hercules and Thompson to settle. (Schuck at 182; C.A. App. 0513).

⁶ Notably, in 1940, this Court had recognized a defense for government contractors that was entirely different than the defense ultimately recognized in *Boyle*. In *Yearsley v. W.A. Ross Construction Co.*, 309 U.S. 18 (1940), this Court held that a contractor who properly performed work pursuant to a public works contract with the United States government was entitled to share in the government's immunity from suit and would not be liable for damages to third parties.

⁷ The Federal Circuit also emphasized that Judge Pratt initially granted summary judgment on the government contractor defense to Hercules and Thompson. (Pet. App. 22a-23a). Since Judge Pratt's decision never was entered as a court order, but instead was withdrawn by Judge Weinstein, petitioners fail to understand why it was emphasized. See *supra* at 6.

In sum, it is far from certain that the government contractor defense would have prevailed at trial. Thus, the Federal Circuit plainly erred in ignoring the realities of litigation and in holding that the decision of Hercules and Thompson to settle was "voluntary." The causation requirement of a *Spearin* claim therefore has been satisfied and petitioners should be allowed to prove their damages.

B. The Federal Circuit's Approach Penalizes Hercules and Thompson for Their Unquestionably Reasonable Decision To Settle and Violates the Well-Established Principle That the Law Favors Settlements

The Federal Circuit held that Hercules and Thompson lost their right to assert a *Spearin* claim solely because they settled the *Agent Orange* litigation. By that reasoning, Hercules and Thompson would have been entitled to pursue a *Spearin* claim had they proceeded to trial and lost. In that event, presumably there would have been "causation" between the alleged damages (i.e., the verdict) and the implied warranty. Thus, the Federal Circuit's decision penalizes Hercules and Thompson solely because they decided to settle. (Pet. App. 18a-20a).

Penalizing litigants who reasonably settle underlying actions does violence to the well-established principle that the law favors settlement. See *Janneh v. GAF Corp.*, 887 F.2d 432 (2d Cir. 1989); *cert. denied*, 498 U.S. 865 (1990) ("[L]itigants, courts, and Congress view settlement as a positive force, indispensable to judicial administration"); *Ahern v. Central Pac. Freight Lines*, 846 F.2d 47, 48 (9th Cir. 1988) (quoting from *United States v. McInnes*, 556 F.2d 436, 441 (9th Cir. 1977)) ("[t]here is an overriding public interest in settling and quieting litigation").

Basic contract principles call for the government to pay to Hercules and Thompson the damages that they incurred to third parties, whether these damages resulted

from a jury verdict or from a settlement with the third parties. Where a breach by one party to a contract results in claims by third persons against the other party to the contract, the party sued is not required to litigate the third-party claims to conclusion and lose in order to recover damages associated with the third-party claims. *Restatement (Second) of Contracts* § 351, cmt. c (1981). Rather, damages in a contract action often include both the cost of a settlement of an underlying third-party action and defense costs incurred in the underlying action. "In furtherance of the policy favoring private settlement of disputes, the injured party is also allowed to recover the reasonable amount of any settlement to avoid litigation, together with the costs of settlement." *Restatement (Second) of Contracts* § 351, cmt. c (1981).⁸

Similarly, Uniform Commercial Code ("U.C.C.") § 2-715(2) provides that consequential damages may include "(b) injury to person or property proximately resulting from any breach of warranty." As noted by the

⁸ Moreover, attorneys' fees incurred in third-party actions caused by a breach of contract are recoverable contract damages. See *United States v. San Francisco Elevator Co.*, 512 F.2d 23, 28 (9th Cir. 1975); Corbin, *Contracts*, § 1037. While this issue was not presented in *Vaughn v. Atkinson*, 291 F.2d 813, 815 (4th Cir. 1961), *rev'd on other grounds*, 369 U.S. 527 (1962), the court there noted, "The general rule is that in suits for breach of contract counsel fees may be allowed to the plaintiff if he can show that the defendant's breach of contract has caused litigation against third parties in which the plaintiff has been obliged to secure the services of counsel".

The Federal Circuit erroneously relied upon *Kania v. United States*, 650 F.2d 264 (Ct. Cl.), *cert. denied*, 454 U.S. 895 (1981), to hold that Hercules and Thompson may not recover attorneys' fees as damages for the breach of contract. *Kania* is inapposite because it does not involve defense costs in an action involving a third party, as does this case. Moreover, the decision in *Kania* rested upon jurisdictional issues, not upon the recoverability of attorneys' fees. *Id.* at 267-68. Accordingly, *Kania* does not detract from the general rule allowing recovery of attorneys' fees, in cases involving third-party litigation.

leading commentators on the U.C.C., "Consequential damages may also arise in the form of liability to third persons incurred as a result of the use or resale of the seller's product." White & Summers, *Uniform Commercial Code* § 10-4 at 519 (3d ed. 1988). Notably, this rule does not distinguish between liability incurred by judgments and by settlements.

These rules apply to claims against the government. Both the Court of Federal Claims and the Armed Services Board of Contract Appeals recognize the U.C.C. as the authority in government contract cases. See *Northern Helex Co. v. United States*, 455 F.2d 546, 553 (Ct. Cl. 1972); *Appeal of Garrity Co.*, ASBCA 12174, 67-2 BCA 6586 (1967); *United States v. Wegematic Corp.*, 360 F.2d 674, 676 (2d Cir. 1966).

If the Federal Circuit's decision is permitted to stand, whenever a government contractor with a potential *Spearin* claim against the government is sued by a third-party plaintiff, the contractor will face a Hobson's choice. If the government contractor settles the third-party action, it will face the possibility that a federal court will decide in hindsight that it could have avoided any liability in the third-party action by litigating to conclusion the government contractor defense. If the government contractor does not settle, it will risk greater exposure and expense by proceeding to trial on the third-party claim with no guarantee that a *Spearin* claim seeking recovery of these expenses will succeed. The government also might contend that the government contractor failed to mitigate its damages.

The government argued in opposing *certiorari* that there is perfect symmetry between the government contractor defense and a claim under *Spearin*. According to this argument, if Hercules and Thompson could establish the elements of a *Spearin* claim in this action, then *a fortiori* they would have avoided all liability at trial in the *Agent Orange* litigation based on the government

contractor defense. (U.S. Opp. 17). Because Hercules and Thompson chose instead to settle, the government argued that they accepted liability voluntarily and are not entitled to assert a *Spearin* claim. *Id.*

In the first place, petitioners dispute the accuracy of the government's contention because the elements of the government contractor defense (at least in 1984) were different from the elements of a *Spearin* claim. Specifically, the success of the various versions of the government contractor defense in existence near the time that Hercules and Thompson settled required some element of proof that the contractor either failed to appreciate the defect in the product the contractor was asked to produce, or appreciated the defect but the government had equal or greater knowledge. See cases cited *supra* at 20. In contrast, an assessment of the contractor's knowledge is not a required element under *Spearin*. See *Spearin*, 248 U.S. at 132.⁹

More fundamentally, this argument fails because it completely overlooks the inherent uncertainty of the litigation process. Even when a government contractor has every reason to expect to be vindicated by the government contractor defense, it still is possible for the defense to fail. Litigation costs alone might be ruinous to some contractors. Thus, government contractors should seek out and take advantage of opportunities to enter into reasonable settlements.

The government's characterization of the settlement as voluntary should be rejected and the settlement and litigation costs in the *Agent Orange* litigation should be recognized for what they are: the direct by-product of

⁹ Further, as discussed *infra* at 28-31, the chance overlap between the elements of an affirmative defense to tort claims and the elements of a particular type of breach of contract claim does not require perfect symmetry of results in the tort and contract actions. Indeed, it unnecessarily would complicate the law of government contracts to import into it the complications inherent in tort litigation against the government.

the government's mandate that Hercules and Thompson produce an allegedly unsafe product. It is particularly disingenuous for the government to raise the government contractor defense as a certain defense after having vigorously opposed the applicability of this defense in the *Agent Orange* litigation.

C. Recognition of a *Spearin* Claim Will Not Provoke Excessive and Unnecessary Settlements

Recognition of a *Spearin* claim for damages incurred by government contractors in third-party tort litigation will not, as the government asserts (U.S. Opp. 18), provoke government contractors to enter into excessive and unnecessary settlements with the expectation of passing the costs along to the government. Government contractors are not likely to do so because they would have no guarantee that they ultimately would be able to recover a settlement from the government.

In the first place, they would need to meet the elements of a *Spearin* claim, including the requirement that the government promulgated *defective* specifications. Second, they typically would need to show that they had potential liability to the plaintiffs in the underlying actions. *See, e.g., Parfait v. Jahncke Servs., Inc.*, 484 F.2d 296, 304 (5th Cir. 1973), *cert. denied*, 415 U.S. 957 (1974), where the Fifth Circuit held, "[i]n settlement cases such as the instant one, the indemnitee has the special problem of showing that his disposition of the indemnitor's funds has not contravened equitable indemnity principles." The court there held that a showing of potential liability is sufficient when the alleged indemnitor had notice of the settlement and declined to participate in the settlement process. *See id.*¹⁰ Third, they normally

¹⁰ In *Parfait*, Parfait settled a lawsuit brought against it by a third party, then sought reimbursement from Jahncke for the cost of the settlement. Parfait prevailed because it established that it was potentially liable to the third party, and also that Jahncke "had a clear opportunity to challenge the [underlying] liability to protect

would need to show that the settlement amount was reasonable under the circumstances.

These principles applied to this case compel the conclusion that the settlement here is recoverable in a *Spearin* action. See *Spearin*, 248 U.S. at 136. As discussed *supra* at 5-9, Hercules and Thompson unquestionably faced potential massive liability in the *Agent Orange* litigation. Also, a showing of potential liability was sufficient because, in the *Agent Orange* litigation, the government had notice of the settlement negotiations and declined to participate in them. *In Re Agent Orange Prod. Liab. Litigation*, 597 F. Supp. at 879. See *supra* at 7.

Finally, the settlement that Hercules and Thompson accepted was significantly lower than their exposure at trial. See *supra* at 8. The government never has challenged the settlement amount as unreasonable, and the trial court in the tort case expressly found that the settlement and its terms were reasonable. *In Re Agent Orange Prod. Liab. Litigation*, 597 F. Supp. at 857.¹¹

There also is no merit to the government's concern about provoking unwarranted settlements by permitting recovery here, because the facts show that Hercules and Thompson made every effort to avoid liability short of submitting to a jury trial. They vigorously sought summary judgment on the basis of the government contractor

its own interest as an indemnitor, yet it declined to do so." *Parfait*, 484 F. Supp. at 305.

¹¹ The trial court stated:

Based on all the information presently available, the procedural posture of the litigation, the difficulty any plaintiff would have in establishing a case against any one or more of the defendants, the uncertainties associated with a trial, and the unacceptable burdens on plaintiffs' and defendants' legal staffs and the courts, the proposed settlement appears to be reasonable. It appears to be in the public's as well as the parties' interest. *In Re Agent Orange Prod. Liab. Litigation*, 597 F. Supp. at 857.

defense and agreed to settle only after they lost that motion and were on the eve of a jury trial. (J.A. 26; Pet. App. 5a-7a). Thus, petitioners clearly made a full and fair effort to obtain dismissal, and did not blithely enter into a settlement comforted by the expectation that those costs would be borne ultimately by the government.

In short, the Federal Circuit determined erroneously that it should disregard the general law of contracts regarding the recoverability of costs incurred in settling third-party actions and instead re-examine *de novo* whether there existed a complete defense to those third-party claims. This Court's decision in *Spearin* was designed to protect an innocent contractor that suffers injury through third-party claims based on the government's specifications. Nothing in *Spearin* or its progeny provides any basis for bypassing the well-established law of indemnity for settlements that were made in good faith, with a reasonable basis and for reasonable amounts.

D. Recognition of a *Spearin* Claim Against the Government Will Establish Government Accountability for Ordering the Production of an Allegedly Hazardous Product

Recognition of a contract remedy against the government for losses incurred by government contractors as a result of third-party claims is necessary to compel government accountability for ordering the production and use of a potentially hazardous product when the government, and not the contractors, has knowledge of the risks. Liability in this case also will ensure symmetry among the government's existing immunities and protections.

Congress has adopted two Acts that allow suits against the government: the Tucker Act, 28 U.S.C. § 1346(a)(2) (1988), which permits the assertion of contract claims, and the Federal Tort Claims Act ("FTCA"), 28 U.S.C. §§ 2671-2680 (1988), which permits the assertion of tort claims.

The jurisprudence surrounding the assertion of contract claims against the government is fairly simple. Cases arise under the Tucker Act between parties in privity; the government waives its immunity against private parties when it enters into contracts with such parties. The court in a contract matter simply enforces the agreement between the parties pursuant to established principles of contract law.

The government is answerable for its contract breaches even when the contract involves purchases and designs that are protected from tort claims by third parties:

The policy considerations that motivate the sovereign to adopt the overall program do not create an umbrella that shields the Government from liability for breach of valid contracts customarily entered. A multitude of defense contractors would be surprised to be told that contracts for ship construction, aircraft production and munitions testing were unenforceable because they were related to defense and foreign policy goals.

Peter v. United States, 6 Cl. Ct. 768, 778 (1984). This Court in *Boyle* noted the contract basis of such actions, stating that the "liability may be styled one in tort, but it arises out of performance of the contract." 487 U.S. at 505. See, e.g., *Bird & Sons, Inc. v. United States*, 420 F.2d 1051 (1970). Indeed, the Federal Acquisition Regulations (FAR) applicable to cost reimbursement contracts do not distinguish between the recoverability of a tort-related cost and any other cost incurred in the course of performing the contract. See 48 C.F.R. §§ 28.311-2 and 52.228-7(c) (1994).

In contrast, a complex jurisprudence has developed around the government's waiver of sovereign immunity for tort claims. This waiver is complicated by a series of both statutory and judicial exceptions and by procedural and substantive limitations on tort recovery. For example,

the FTCA excepts: (a) tort claims that arise from the exercise of the government's discretionary functions or duties, 28 U.S.C. § 2680(a); and (b) claims arising in particular areas of governmental activity, such as combatant activities of the armed forces. *See* 28 U.S.C. § 2680(j). These limitations all are designed to restrict the government's tort exposure for injuries to individuals employed by the government who suffer from the government's discretionary activities.

The judiciary also has established certain limitations on the government's liability in tort actions. Specifically, this Court established in *Feres* that the government is not liable under the FTCA to a member of the armed forces who sustains an injury while in the course and scope of his duties. *See Feres*, 340 U.S. at 135. This exception was broadened in *Stencel* to preclude third-party claims against the government for contribution or indemnification in tort for damages paid by the third party to a member of the armed forces injured during military service. *See Stencel*, 431 U.S. at 666.

In *Stencel*, this Court reasoned that permitting a party to sue in tort under the Federal Tort Claims Act for indemnification against a tort claim brought against it by a member of the armed forces would circumvent *Feres* because *Feres* would bar a direct tort suit against the government by that member of the armed forces. *Stencel*, 431 U.S. at 673. That reasoning, however, does not preclude a contract action against the government by a government contractor. For example, permitting a contract action does not offend the principal underpinning of the *Feres* doctrine, which has been stated as the need to avoid litigation about military discipline, supervision and control. *See United States v. Shearer*, 473 U.S. 52, 58 (1985).

The *Feres* doctrine has been heavily criticized. *See United States v. Johnson*, 481 U.S. 681, 700 (1987)

(Scalia, J. dissenting) ("*Feres* was wrongly decided and heartily deserves the 'widespread, almost universal criticism' it has received") (citations omitted). This Court has shifted away from the *Feres* doctrine, most recently by resting the government contractor defense in *Boyle* upon federal common law, rather than the *Feres* doctrine. *Boyle*, 487 U.S. at 504-07. Accordingly, this Court should hold that the *Feres* doctrine does not prevent government contractors from suing the government for breach of contract under *Spearin*. In this way the government is protected from tort liability, but remains accountable to contractors which have a direct contractual relationship with the government. Such contractors have no means other than contract of protecting themselves from potentially wide-ranging damage claims that ultimately may result from their compliance with government specifications.

II. THE GOVERNMENT IS ACCOUNTABLE TO HERCULES AND THOMPSON UNDER THE SUPERIOR KNOWLEDGE DOCTRINE FOR THE LOSSES THEY INCURRED FROM THE MANDATED PRODUCTION OF AGENT ORANGE

A related application of *Spearin* was first recognized in *Helene Curtis*.¹² The underlying principle is that "the

¹² Although petitioners did not treat the superior knowledge issue separately in the argument section of the petition for *certiorari*, they did advert to the issue several times in the petition itself. (Pet. 8-10 & nn. 7-9). Moreover, the superior knowledge issue is subsumed within the general question presented by Judge Plager's dissent, which was the essential question presented in the petition. The superior knowledge issue also is tied closely to *Spearin*, which unquestionably is before the Court, and thus the issue could be viewed as subsumed within that portion of the question presented as well. See, e.g., *Yee v. City of Escondido*, 503 U.S. 519, 537 (1991); *Missouri v. Jenkins*, No. 93-1823, slip op. at 12-13 (U.S. June 12, 1995). Accordingly, petitioners have decided to present the "superior knowledge" contention as an alternative and reinforcing basis for reversal.

government—where the balance of knowledge is so clearly on its side—[cannot] betray a contractor into a ruinous course of action.” See *Helene Curtis*, 312 F.2d at 778. This principle was applied in *Helene Curtis* in the context of the government’s failure to disclose information pertinent to the actual performance of the contract. *Id.* The government, however, also violates this principle when the government fails to disclose superior knowledge pertinent to the performance or safety of a product after it has been produced in accordance with government specifications.

There has been a judicial finding that Hercules and Thompson had no knowledge of any toxicity problems associated with Agent Orange when they first were compelled to produce it. See *In Re Agent Orange Prod. Liab. Litigation*, 565 F. Supp. at 1272-73. Moreover, there is evidence that the government had, and withheld from Hercules and Thompson, superior knowledge regarding the hazards of Agent Orange. See *supra* at 3-4. Thus, the government is *prima facie* accountable to Hercules and Thompson under the superior knowledge doctrine.

The Federal Circuit erroneously rejected the superior knowledge application of *Spearin* on the primary ground that this doctrine is tenable only when the government withholds knowledge that bears upon costs incurred by government contractors during their performance of the contract at issue. (Pet. App. 16a). This limitation is contrary to the principles underlying that doctrine. See *Helene Curtis*, 312 F.2d at 778. Moreover, the Federal Circuit failed to cite any support for its decision.

The thoughtful approach taken by Judge Plager in his dissent captures the essence of petitioners’ arguments. The contours of the superior knowledge doctrine can best be understood by recognizing that the superior knowledge and *Spearin* doctrines arise from a common thread. (Pet. App. 42a-43a). As even the Federal Circuit acknowl-

edges, the implied warranty of specifications recognized in *Spearin* is not limited to damages that manifest themselves during performance. (Pet. App. 42a). The majority offers no rationale for limiting the superior knowledge doctrine to such damages, when the remedy under *Spearin* is not so limited. (Pet. App. 15a-17a).

Accordingly, the Federal Circuit erred in failing to recognize that the government is accountable to Hercules and Thompson pursuant to the superior knowledge doctrine.

III. THE GOVERNMENT'S USE OF COMPULSION UNDER THE DPA RESULTS IN AN IMPLIED-IN-FACT CONTRACT TERM INDEMNIFYING PETITIONERS AGAINST DAMAGES ARISING FROM THE PRODUCTION OF AGENT ORANGE

The government virtually seized Hercules' and Thompson's production facilities under the authority of the DPA. Pursuant to this authority, petitioners were ordered under threat of criminal and civil sanctions to accept contracts they did not even wish to perform. Once they were engaged in the manufacturing process, they were required to devote all of their resources to the government's needs, required to adopt the government's specifications, and even were prohibited from displaying warning labels that could have protected users and reduced potential liabilities. *See supra* at 4. The government imposed these requirements on Hercules and Thompson even though the government knew that the resulting product possessed serious potential safety defects.

These circumstances, in which Hercules and Thompson were forced into a position of accepting liability for third-party claims, give rise to an implied-in-fact agreement to indemnify. Where the only voluntary actor is the government, the contract unilaterally imposed must be read to

include an implied contract term protecting contractors and indemnifying their losses.

A. The Plain Language of the DPA Requires Recognition of an Implied-in-Fact Contract Term Under These Circumstances

Under section 101 of the DPA, the government compelled petitioners to accept and perform the Agent Orange production contracts. That section of the DPA authorizes the President:

(1) to require that performance under contracts or orders (other than contracts of employment) which he deems necessary or appropriate to promote the national defense shall take priority over performance of any other contract or order, and, for the purpose of assuring such priority, to require acceptance and performance of such contracts or orders in preference to other contracts or orders by any person he finds to be capable of their performance, and (2) to allocate materials and facilities in such manner, upon such conditions, and to such extent as he shall deem necessary or appropriate to promote the national defense.

50 U.S.C. § 2071(a).

Given the sweeping authority granted the government, Congress crafted broad language to ensure that contractors did not face exposure for any civil liabilities that might arise from compliance with orders issued under the Act. Section 707 of the DPA provides, *inter alia*:

No person shall be held liable for damages or penalties for any act or failure to act resulting directly or indirectly from compliance with a rule, regulation, or order issued pursuant to this Act.

50 U.S.C. § 2157.

This sweeping language expressly reveals Congressional intent to hold manufacturers harmless for any liabilities

which flow from compliance with an order issued under the Act. As described in the *amicus* brief of the U.S. Chamber of Commerce, since World War I, Congress has granted certain extraordinary powers to the President to facilitate military production. While earlier immunity provisions were limited expressly to contractual damages,¹³ Section 707 of the DPA bars liability for any damages, whether "direct or indirect." When Congress amended Section 707 for clarity in 1952, the Senate Report accompanying the amendment used the broadest possible terms:

The first sentence of Section 707 of the act contains the so-called exculpatory clause, which protects a person from liability, *under contract or otherwise*, as the result of compliance with the act or regulations issued under the act. This provision was included to encourage and assist people to comply with the act, even though it was recognized that common-law doctrines, such as frustration and impossibility of performance and the like, would cover many of the same cases.

S. Rep. No. 1599, 82d Cong., 2d Sess., *reprinted in* 1952 U.S. Code Cong. & Ad. News 1789, 1818-19 (emphasis added).¹⁴

The syllogism by which an implied contract term extends to these circumstances is straightforward: the scope of Section 707 is co-extensive with the requirements im-

¹³ See generally *amicus curiae* brief submitted on behalf of the U.S. Chamber of Commerce.

¹⁴ The typical authority exercised under the DPA is to require acceptance for the purpose of ensuring that the contractor performs government contracts in priority over its commercial contracts. Liabilities arising from this typical case are potentially addressed by the doctrines of frustration or impossibility of performance. That many of these cases would be covered by these doctrines plainly does not confine the sweeping scope of protections from all damages, "in contract or otherwise," to only those particular contract damages arising from priority.

posed by Section 101 (a *quid pro quo*); Hercules and Thompson were required under the DPA to accept and perform contracts involving hazardous materials; therefore, an implied-in-fact indemnity covers those risks which Hercules and Thompson incurred by virtue of their performance of the contract.

The Federal Circuit recognized that the DPA's protections extend to the powers that are exercised thereunder (Pet. App. 28a), agreeing with Judge Weinstein that "[l]ogically, then, the protection afforded by section [2157] should correspond to the risk imposed." The Federal Circuit also recognized that petitioners were required under the authority of the DPA to accept contracts to produce Agent Orange. (Pet. App. 4a, 28a-29a). The Federal Circuit, however, avoided the logical conclusion that petitioners therefore should be indemnified by the government for their losses to third parties as a result of performing those contracts. Instead, the Federal Circuit held that no indemnity was created with respect to the damages flowing from the *Agent Orange* litigation because, in the view of the Federal Circuit, the protections of the DPA extend only to damages resulting from frustration of commercial contracts due to the priority given to the government's demands.

The Federal Circuit reached this decision because it read the DPA as if the "*quid pro quo*" established by the DPA was limited to the narrow range of damages arising from requirements that contracts with the government be given priority over contracts with other customers. (Pet. App. 30a). This approach does not correctly define the scope of authority under the DPA, or the relevant power conveyed by the Act: petitioners were required not merely to give priority to the government's contracts, but to *accept and perform* government contracts.¹⁵

¹⁵ The Federal Circuit also rebuffed petitioners' argument by saying that Congress knew how to make the scope of the provision

The Federal Circuit's effort to narrow the scope of the *quid pro quo* is contrary to the plain language of the statute, and is an act of legislative revisionism on the part of the majority.

B. Recognition of an Implied-in-Fact Contract Term Indemnifying Petitioners Is Required Under These Circumstances

Given the hazardous nature of the contracts imposed upon Hercules and Thompson pursuant to the DPA, the extent of control that the government exercised over Hercules and Thompson when they performed the contracts, and the protections granted to contractors by the express provisions of the DPA, an implied indemnification obligation should be recognized in this case.

This Court long has recognized that contracts can contain implied indemnification provisions. In *Ryan Stevedoring Co. v. Pan-Atlantic Steamship Corp.*, 350 U.S. 124, 133-34 (1956), for example, this Court imposed an obligation on a stevedore company to indemnify a shipping company from harm resulting from the unsafe handling of cargo by an employee of the stevedore company. This Court viewed the stevedore-indemnitor's duty

broad and inclusive, if it had so intended (Pet. App. 30a). This assessment is mystifying; the language could not be more plain or expansive. Congress went so far as to declare that even "indirect damages" were not to result from compliance with orders under this Act. 50 U.S.C. § 2157.

The Federal Circuit also relied upon the second sentence of the section, "which prohibits discrimination 'against contracts to which priority is assigned . . .,'" (Pet. App. 32a), to bolster its conclusion that this was the exclusive concern of Congress. But this strained interpretation is to no avail; no rule of statutory construction allows the definitive and sweeping protections of the first sentence to be limited only to those distinct situations dealt with in the remainder of the paragraph. The Federal Circuit's analysis simply divests the plain language of its meaning and fails to carry out that which Congress clearly intended.

to handle operations safely as an "obligation [which] is not a quasi-contractual obligation implied in law or arising out of a noncontractual relationship. It is of the essence of petitioners' stevedoring contract."¹⁶

Other cases have recognized the concept that, where one party has caused another to become exposed to liability from third parties, a contractual indemnity may be implied-in-fact in an appropriate case. *See, e.g., Santisteven v. Dow Chem. Co.*, 506 F.2d 1216, 1219 (9th Cir. 1974).

Courts also have imposed an implied contractual indemnity upon the government where the government's role in exposing a contractor to liability to third parties normally would give rise to a *Spearin* claim. For example, in *Michigan Wisconsin Pipeline v. Williams-McWilliams*, 551 F.2d 945 (5th Cir. 1977), Williams-McWilliams Company entered into a contract with the government to dredge a ship channel. In performing the contract, Williams-McWilliams relied upon government specifications, which failed to reveal the presence of an underwater pipeline. Williams-McWilliams damaged the pipeline while performing the contract, and was held liable to Michigan Wisconsin Pipeline Company, which owned the pipeline. Williams-McWilliams asserted a

¹⁶ While the plaintiff in *Space Age Engineering, Inc. v. United States*, 4 Cl. Ct. 739, 742 (1984), had not pleaded sufficient facts for a finding of an indemnity, the court there noted that reliance upon a statutory provision is a well-established basis for implied-in-fact contract actions against the United States:

This court cannot redress the violation of a statute or regulation which create no enforceable rights, *citations omitted*, but a plaintiff may rely on the violation of a statute or regulation to show its implied contract for fair consideration has been breached. *Dynallectron Corp. v. United States*, 4 Cl. Ct. at 428; *see also Alabama Metal Products, Inc. v. United States*, 3 Cl. Ct. 530 at 534 (1984); *Electro-Methods, Inc. v. United States*, 3 Cl. Ct. 500, 508 (1983), *aff'd in part*, 728 F.2d 1471 at 1475 (Fed. Cir. 1984).

third-party action against the government, alleging that the government was at fault because it provided defective specifications. The district court dismissed the third-party action but the Fifth Circuit reversed, holding that:

We agree that when a contractor has justifiably relied upon government representations he should be protected from claims by third parties

Id. at 951.

Similarly, in *Travelers Insurance Co. v. United States*, 493 F.2d 881 (3d Cir. 1974), a federal employee was fatally injured while working on a tower. The tower had been built by a manufacturer in accordance with government specifications. The employee's estate sued the tower's manufacturer, which was held liable to the estate. The manufacturer sued the government for indemnification and contribution. The district court dismissed the action on the grounds that the government could not be liable in indemnification or contribution. On appeal, the Third Circuit reversed and remanded to determine whether the manufacturer could recover under a theory of implied contractual indemnity. 493 F.2d at 887-88.¹⁷

In this case, the unilateral decision of the government to involve petitioners in contracts under a statute that expressly allocates risk away from the contractor reinforces a finding of an implied-in-fact indemnity. Implied-in-fact contract terms providing for warranty or for indemnity arise when the circumstances show that a party creating risk contracted to be legally responsible for the risk. Circumstances to be considered include statutory provisions. Here, the entire context of the DPA suggests

¹⁷ Similarly, in the asbestos cases, one court indicated that it might be possible to interpret the extreme control the government took over the specifications and manufacturing as an implied contractual indemnification. *Johns-Manville Sales Corp. v. United States*, 622 F. Supp. 443, 449-50 (N.D. Cal. 1985).

that the government contracted to be legally responsible for the risks of Agent Orange. *See supra* at 34-37.

As this Court recognized in *Ryan*, the proper legal remedy in cases such as these involves placing the financial burden upon the party that caused the damage. Here, the government clearly caused the damage; in fact, it is the only party that acted in a completely voluntary manner. The government ordered Hercules and Thompson to produce Agent Orange, and it dictated the specifications of the product with knowledge of its dangers. Thus, the government is obligated to indemnify Hercules and Thompson for the losses that they suffered as a result.

This matter comes before the Court in a posture strained by the failure of the DPA to protect petitioners in the underlying tort litigation, despite its clear language. Ultimate causation, however, lies with the government. Where the government, with knowledge of risk, orders manufacture of a product for which it specifies the design and regarding which it has superior knowledge, the obligation to indemnify from harm must lie in the essence of that contract. A finding of an implied-in-fact indemnity would effectuate the intent of Congress, redress the unmistakable inequities to petitioners, and give force and effect to the contractual responsibilities the government assumed under the DPA toward Hercules and Thompson.

C. The Anti-Deficiency Act Does Not Constitute a Bar to the Government's Indemnification of Plaintiff

In opposition to *certiorari*, the government argued that the Anti-Deficiency Act, 31 U.S.C. § 1341 (1988), supposedly bars the implied-in-fact indemnity relied upon by Hercules and Thompson by characterizing petitioners' claim as seeking to enforce an unauthorized contractual provision. The Anti-Deficiency Act provides in relevant part:

(a)(1) An officer or employee of the United States Government or of the District of Columbia government may not—

(A) make or authorize an expenditure or obligation exceeding an amount available in an appropriation or fund for the expenditure or obligation; or

(B) involve either government in a contract or obligation for the payment of money before an appropriation is made unless authorized by law.

An implied-in-fact indemnity, however, falls outside the scope of this statute. Such an indemnity is judicially fashioned and is not an express contractual provision. An implied-in-fact indemnity arises from the powers of the court, not from the powers of a government officer or agent. The recognition and enforcement of an implied-in-fact indemnity therefore does not violate the Anti-Deficiency Act.¹⁸

The Anti-Deficiency Act also is inapplicable here because the contracts at issue arise from the compulsory powers of the DPA and also from the DPA's provisions that protect contractors from third-party claims resulting from the exercise of those compulsory powers. What Congress has created by statute is enforceable without regard to the Anti-Deficiency Act.

¹⁸ Additionally, several exceptions to the Anti-Deficiency Act would allow recovery here even if that Act were held to apply. For example, there are statutory exemptions for hazardous activities—an exception certainly applicable here, given that Agent Orange was a hazardous material. See *Matter of Assumption by Government of Contractor Liability to Third Persons—Reconsideration*, 62 Comp. Gen. 361 at 365 (1983). At a minimum, the Court should not undertake to affirm on this alternate ground.

CONCLUSION

For the above reasons, petitioners respectfully request that this Court reverse the decisions of the Federal Circuit and remand this action for further proceedings.

Respectfully submitted,

JEROLD OSHINSKY *
 GREGORY W. HOMER
 RHONDA D. ORIN
 ANDERSON KILL OLICK
 & OSHINSKY
 2000 Pennsylvania Ave., N.W.
 Suite 7500
 Washington, D.C. 20006
 (202) 728-3100
 MICHAEL B. KEEHAN
 WALTER S. ROWLAND
 HERCULES INC.
 Hercules Plaza
 Wilmington, Delaware 19894
 (302) 594-5000

JAMES S. TURNER
 ALAN DUMOFF
 SWANKIN & TURNER
 1424 16th Street, N.W.
 Suite 105
 Washington, D.C. 20036
 (202) 462-8800
 CARTER G. PHILLIPS *
 SIDLEY & AUSTIN
 1722 I Street, N.W.
 Suite 900
 Washington, D.C. 20006
 (202) 736-8000

Counsel for Petitioners

* Counsel of Record

